

On the other hand, when a company clearly becomes the leader in its field, not just in dollar volume but in profitability, it seldom gets displaced from this position as long as its management remains highly competent. As discussed in examining the second dimension of a conservative investment, such a management must retain the ability to change corporate ways to match the ever-changing external environment. There is a school of investment thinking that advocates acquiring shares in the number-two or -three company in a field because “these can go up to number one, whereas the leader is already there and might slip.” There are some industries where the largest company does not have a clear leadership position; but, where it does, we emphatically do not agree with this viewpoint. It has been our observation that, in many years of trying, Westinghouse has not surpassed General Electric, Montgomery Ward has not overtaken Sears, and—once IBM established early dominance in its areas of the computer market—even the extreme efforts of some of the largest companies in the country, including General Electric, did not succeed in displacing IBM from its overwhelming share of that market. Neither have scores of smaller price-cutting suppliers of peripheral equipment been able to displace IBM as the main and most profitable operator in that phase of the computer industry.

What enables a company to obtain this advantage of scale in the first place? Usually getting there first with a new product or service that meets worthwhile demand and backing this up with good enough marketing, servicing, product improvement, and, at times, advertising to keep existing customers happy and coming back for more. This frequently establishes an atmosphere in which new customers will turn to the leader largely because that leader has established such a reputation for performance (or sound value) that no one is likely to criticize the buyer adversely for making this particular selection. In the heyday of the attempts of others to cut into IBM's computer business, no one will ever know how many employees of corporations planning to use a computer for the first time recommended IBM rather than a smaller competitor whose equipment they privately thought was better or cheaper. In such instances the primary motive was probably a feeling that if, later on, the equipment should fail to perform, those making the recommendation would not be blamed if they had chosen the industry leader but could very well find their necks out a mile if a failure occurred and they had chosen a smaller company without an established reputation.